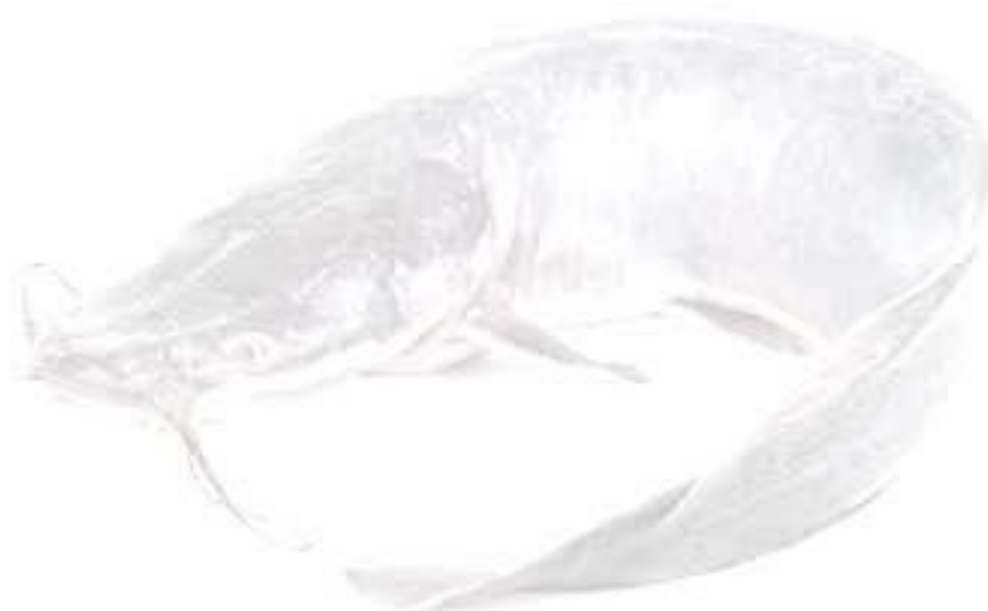


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1. EXECUTIVE SUMMARY

Farms catfish business will be established to meet the fish demand in the community. It will be located in Damagasa, Gudu district, Abuja. The main economic significant of the business is to contribute towards narrowing down the fish demand-supply gap deficit in Nigeria as well as the supply of proteins and micro nutrients for feeding the teeming population FCT Abuja, North Central and Nigeria at large.

The business would be managed by the Proprietor. He is experienced in the field of fish farming and have managed different businesses.

The Fish Industry is a lucrative business as the demand for fish in the country is growing geometrically, the opportunity to expand is necessary because of the growing demand for fish and due to some health benefits attached to consumption of fish as compared to consumption of meat. With our dominance, and being the only and pioneering fish farm in this locality, we would flood the whole market with our fish. The business will be a sole proprietorship with the proprietor required to contribute capital and also sourced for credit facilities.

The risk of the business is mainly getting a market and we have already identified our target market. The cost benefit analysis of this plan shows that in the startup year, with 12,000 fingerlings in stock and projected sales of 11,700 adult fish in one circle which is half a year, we would make N7,020,000. This implies that about N14,040,000 is realizable annually for two (2) production cycle which indicates that the project is very much feasible, viable and very much profitable and as such worth investing.

2. INDUSTRY ANALYSIS

The agricultural industry of which Fish Aquaculture business is a subset of is no doubt among the leading industry in most countries of the world; it is the industry that produces fish for the populace.

Because of the significant role the agriculture sector plays, the government of most countries ensures that they go all the way to subsidize seedlings, fertilizers, and farming implements and machinery for farmers and also encourage entrepreneurs to go into commercial farming (fish farming inclusive).

The Fish Aquaculture industry comprises of businesses that farm aquatic animals or plants in controlled aquatic environments. Businesses in this industry make use of some form of intervention in the rearing process to enhance production, such as holding in captivity and protecting from predators, pests and disease.

It is important to state that this industry does not include the fishing and harvesting of wild fish and shellfish especially on the high sea.

The fish industry involves the cultivation and marketing of fish in a controlled environment for all or part of their life cycle. The catfish industry in Nigeria is one of the fastest growing segments of the agriculture fish market today. The growth potential for the catfish market is at its strongest level ever. The demand for catfish is increasing due to the ever-increasing health consciousness of consumer. Per capita consumption of fish in Nigeria has increased geometrically. These increases in demand are stressing the world's natural fisheries, which are generally considered to be at or near their maximum sustainable yield, thus increasing the demand for the catfish raised in aquaculture facilities. Not to mention the increasing demand in our society for locally grown products.

✧ **Growth Rate, Industry Size, Opportunity and Sales Projection**

The demand for fish according to the federal ministry of agricultural was 2.7 million metric tons in 2019 while domestic production was 0.8 million metric tons. The Nigerian Federal Ministry of Agricultural estimates that the demand for fish in the nation is projected to grow from its current demand by 30%.

This deficit was partly augmented by massive importation of fish of about 1.9 metric tons. This is a big drawback on our scarce foreign exchange. This still left a huge deficit of 1.9 metric tons, hence the concerted effort to ensure self-sufficiency in fish production through aquaculture in Nigeria. The demand for Fish in the country is currently estimated at about 3.51 million metric tons annually, as against the local annual production of just 1.04 million metric tons, giving a demand-supply gap of about 2.47 million metric tons. It is very clear that the demand is far higher than supply.

✧ **Nature of Participants**

The participants in this industry ranges from other local farming mainly in the south-south, south east, north East region of this country and also importers of the product. The participants of this industry are all after which supply type would bring profit.

✧ **Industry Structure**

The Nigerian fishing industry comprises of three major sub sectors namely the artisanal, industrial and aquaculture. The awareness on the potential of aquaculture to contribute to domestic fish production has continued to increase in the country. This stems from the need to meet the much-needed fish for domestic production and export. Fish species

which are commonly cultured include Tilapia spp, Heterobranchusbodorsalis, Clariasgariepinus, Mugiespp, Chrysichthysnigrodigitatus, Heterotisniloticus, Ophioce-phalus obscure, Cyprinuscaurio and Megalospp. Fish culture is done in enclosures such as tanks. The aquaculture sub sector contributes between 0.5% and 1% to Nigeria's domestic fish production

✧ **Key Success Factor**

- We are the only fish farm in Damagasa which provides us with the avenue to control the market, and being the only fish farm we will enjoy monopoly.
- The growing population is another major factor because more people are coming ranging from civil servants to business men and women, investors and people from all part of the country.

✧ **Industry Trends**

The demand for catfish is non-seasonal commodity. There are no up and downtrends in this industry as there is always demand for catfish. Demands even goes higher than normal during festive periods but they are no periods when demand is below normal as even during fasting periods, at evening time of break, people would also come to buy to break their fast.

3. COMPANY DESCRIPTION

The company is a new company which was recently Registered with The Corporate Affairs Commission.

The idea for this business plan emanated from the desire to secure loan to further expand the operation of the intended business of Catfish farming.

✧ **Our Goals**

- ❖ □ To remain pioneers in the fish farm business and to further strengthen our leading position.
- ❖ □ To increase the production of our product (Catfish).
- ❖ □ To lay emphasis on the vertical integration of the production and to achieve added value.
- ❖ □ To increase productivity and efficiency to the benefit.
- ❖ □ To establish long-term planning for the benefit of the consumers and make more profit.
- ❖ □ To successfully meet the challenges and demands of the domestic market.
- ❖ □ To seek transparency in the structure, operation and production of the company.

✧ **Mission**

To provide healthy fish of high nutritional value and affordable prices that improves people's lives and high-quality while improving the lives and livelihood of Abuja populace.

✧ **Products and Services**

Production of catfish is one business that demands care and expertise, the main expenditure in the production cycle is the fish feed and the staff salary. It takes a life cycle of about six months to get to maturity when feed adequately.

Catfish is an indigenous spice. As a result of the growing cost of buying meat, this has created much demand for fish. This is the market we intend to fill by taking our product (Catfish) to the market.

✧ **Legal Status**

The Company is registered under the Companies and Allied Matters Act (CAMA 2004) and will comply with all the necessary rules and regulations that guide the operations of Companies in Nigeria as contained in the Act.

4. MARKET ANALYSIS

Fish Farming in Nigeria started gaining wide spread recognition in the year 2000 and has now become a business that all farmers are venturing into. Statistics has it that only 50% of the demand of fish has been met, why is that so? Statistics also has it that 51% of poultry farmers are now engaging or converting to fish farming.

Nigeria who is a major consumer of fish has been known for her large importation and dependence on fishing in rivers, lakes and the sea, yet the demand for fish is still high. States around the west like Lagos, Ogun and Osun realized the business in good time, that's why in 2007 Lagos state had over 40,000 registered farmers and 20,000 being fish farmers, this statistics is not taking into consideration the non-registered farmers. This large market of life fish has remained untapped by the residence of States in North East, North West and North Central Nigeria, and that is what Farms will be offering residence of Damagasa and its environs.

On daily bases a large number of fish is been imported into the country in order to attempt to meet the unending demand yet the demand never seems to reduce. This is an indication that there is a need for increased fish farming in the North and Central regions of the country.

✧ **Target Market**

With the location of our business in North Central, FCT Abuja, Gudu District and particularly Damagasa to be specific, we hope to enjoy huge patronage of the large population here.

Below is a list of the people and business that we will market our catfish to;

- Households
- Individuals
- Hotels
- Restaurants
- Fast food eateries
- Agriculture merchants

We are planning to meet a production capacity of 2,700 catfish per month. We would make effort to contact cold room buyers within, and preservation through drying is also an option we are planning for. We are also planning to reach out to industrial users that utilize the fish for fish meal production and other products. Having carried out our feasibility analysis and research on our target market and location, we have seen that basket load of tomatoes thrown away at the end of market day but fish is one product that is never sufficient for sale and here are adequate preservation processes available.

✧ **Buying Behavior**

As a new business that is just starting, also considering the location of our business, we will be selling basically on cash but might consider giving credits to individual who purchase in large quantity either for consumption or resale.

✧ **SWOT Analysis**

Farms do not intend to launch out with trial and error hence the need to conduct a proper SWOT analysis.

We know that if we get it right from the onset, we would have succeeded in creating the foundation that will help us build a standard catfish farming company that will favorably compete with leading players in the Fish and Seafood Aquaculture industry in the North Central and in the rest part of Nigeria.

A SWOT analysis was conducted for Farms. Here is a summary from the result of the SWOT analysis;

- **Strength:**

Our strength as catfish farmer is the fact that we have healthy relationships with loads of major players (agriculture merchants) in the industry; both suppliers of fish, feeds and medications and buyers of catfish within and outside Gudu District.

We acquire some of the latest fish farming tools and equipment that will help us raise and produce catfish in commercial quantities with less stress. Aside from our relationship (network) and equipment, we can confidently boast that we have some the most experienced hands in our payroll.

- **Weakness:**

Our weakness could be that we are a new catfish farmer, and perhaps it might take us sometime to attract big time customers in the industry. We are aware of this and from our projection will overcome this weakness with time and turn it to a major advantage for the business.

- **Opportunities:**

The opportunities that are available to us as a standard and world – class catfish farmers cannot be quantified, we know that there are lots of households, and businesses such as hotels and fast food restaurants that can't do without daily supply of catfish. We are well positioned to take advantage of this opportunity

- **Threat:**

Some of the threats and challenges that we are likely going to face when we start our own catfish farming are global economic downturn that can impact negatively on household spending, bad weather cum natural disasters (draught, epidemics), unfavorable government policies and the arrival of a competitor within same location.

There is hardly anything you can do as regards this threats and challenges other than to be optimistic that things will continue to work for your good.

✧ **Competitor's Analysis**

Our main competitor in this fish farming business is the importers of frozen fish. From our analysis, the cost per kilogram of frozen fish, popularly called ice-fish is N800, to achieve this, weighing three units which give a kilogram of and a unit of that size of fish bought for N300. Currently, the catfish is sold to main distributors at N600 per kilogram, and it is retailed at N700 per kilogram, this makes it reasonably cheaper,

survey data has shown that the catfish is preferred to the frozen ice-fish in taste and nutritional value. For other competitors in the catfish market, we have a considerable advantage, being that fish farming is our passion and our farm is situated right within reach and the market premises which makes supervision easier and effective. The business being a sole proprietorship, it is the owner that will provide all the factors for the production as land, the location and climate of the area is very suitable for fish production. The business has relatively low overhead expenses with few staff presently to match current production capacity.

✧ **Benefits to Clients**

Most children that grow with low protein intake end up malnourished and low intelligent quotient. Economically, the continuous importation of frozen fish to the country reduces our GDP, and thus reduces the national income. Also, the ever increasing rate of unemployment in the country is truly becoming worrisome to the Government and well-meaning Nigerians.

Like most entrepreneurs, the goal of the fish farm business is for profit, but the underlying benefits cannot be overemphasized, from putting more fish into the system, thereby increasing the chance of more source of protein in the society at affordable rate to reduction of unemployment rate and increase in national income, taxes are paid and wealth are distributed.

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5. ESTIMATED ANNUAL SALES AND MARKET SHARE.

Total annual production

Market Target:		
Weeks Fish Supplied to Market	2 Cycles. As it takes 6 months to complete each cycle and our product supplied to the market	WK 27 WK52
Amount of Fish to be sold per year	11,700 Pcs per Cycle	23,400 Pcs
Unit Price	N600	N600
Total Annual Sales	N7,020,000 Per Cycle	N14,040,000
Inputs Required During the Year:		
Fingerlings	12,000 Pcs	24,000Pcs
Feeds	196 Bags	392 Bags
Operating Cost:		
Fingerlings @ N30 each	N360,000 Per Cycle	N720,000
1 st month Feeds 6 bags@ N9,500 per bag	N57,000	N114,000
2 nd month Feeds 30 bags @ N9,500 per bag	N285,000	570,000
3 rd month Feeds 40 bags @ N5,700 per bag	N228,000	456,000
4 th month Feeds 40 bags @ N4,300 per bag	N172,000	344,000
5 th month Feeds 40 bags @ N4,300 per bag	N172,000	344,000
6 th month Feeds 40 bags @ N4,200 per bag	N168,000	336,000
Labour	1,555,200	3,110,400
Chemicals	150,000	300,000
Net	7,000	14,000
Miscellaneous expenses	500,000	1,000,000
Total Operating Cost	N3,654,200 Per Cycle	N7,308,400
Returns	N3,365,800 Per Cycle	N6,731,600

6. REVENUE DRIVERS AND THE PROFIT MARGINS

The end product of fish farm is the grown up (Adult) fish for sale in the market. Unlike poultry farming or other farms where you can have other by products like the animal dung, fish have no such by products which you can also sale for profit.

Our revenue driver, would be the sale of the grown up or adult fish to the market. The revenue to be raised here from this sale is high if we are able to work hard and ensure our fish are alive, healthy and well feed and reach the market desired size. When we buy a fingerling at the cost of N30, after the growth cycle of 6 months, the fish would be sold in the market for about N600 – N700, it's a big revenue driver for us. So we have to work hard so that this is achieved.

✧ **Fixed and Variable Cost**

❖ Fixed cost for these early periods are as follows:

- Tax
- Depreciation

❖ Variable cost for these early periods are as follows:

- Feeds
- Seed (Fingerlings)
- Fuel
- Electricity
- Chemicals
- Labour Cost

Illustration of a fish

7. START UP COST

i.	Acquiring Land	
	a. We already have already acquired vast land which will be used for the farm.	
	b. Fencing of Farm	N300,000
	TOTAL	N300,000
ii.	POND CONSTRUCTION:	
	a. For start up, The firm already have Four (4) very big concrete ponds, each to carry 3,000 fishes.	
	b. Cost of Borehole Drilling (Water Source)	N450,000
	c. Cost of pump machine to pump water to Overhead Tank	N60,000
	d. Cost of Pond Treatment	N60,000
	TOTAL	N570,000
iii.	Fingerlings	
	a. Cost of High breed Fingerlings (N30each X 12000 X 2)	N720,000
	b. Cost of Feeds	N2,164,000
	TOTAL	N2,884,000
iv.	Feeding Equipment	N120,000
v.	Harvesting Equipment	N120,000
vi.	Equipment for Maintenance, Monitoring and Repair	N100,000
vii.	Other Facilities	N100,000
viii.	Labour (8 Staff) @ 32,400 each for 12 month	N3,110,400
	TOTAL START UP COST	N7,304,400

✧ Required Startup Capital

The required startup capital is Seven Million, Three hundred and Four Thousand, Four hundred Naira (N7,304,400.00k) only .

✧ Loan Needed

The loan needed is Seven Million, Three hundred and Four Thousand, Four hundred Naira (N7,304,400.00k) only.

8. MARKETING PLAN

✧ Sales and Marketing Strategy

The demand for catfish is non-seasonal commodity, we have plans to reach out to other market in the North Central states for faster sales and better profit, we plan to also employ the service of the available modern fish driers as we have identified that dry fish yield more profit and it is preserved and sold at will. We are also planning to contact Bulk cold room buyers from target market, who are still looking for more fish supply as the fish demand and fishes' stock have not been able to satisfy them and they are always on the lookout for more.

We are quite aware that the reason why some catfish farming companies hardly make good profits is their inability to sell off their catfish as at when due. Our sales and marketing team will be recruited based on their vast experience in the catfish industry and they will be trained on a regular basis so as to be well equipped to meet their targets and the overall business goal of Farms.

Over and above, we have perfected our sale and marketing strategies first by networking with agriculture merchants and businesses that rely on daily supply of fish that are likely to become our customers. In summary, Farms will adopt the following strategies in marketing our fish and seafood;

- Introduce our business by sending introductory letters alongside our brochure to stakeholders in the agriculture industry, households, hotels and restaurants and agriculture produce merchant etc.
- Advertise our business in agriculture and food related magazines
- Attend related agriculture and food expos, seminars, and business fairs etc.
- Leverage on the internet to promote our business
- Engage in direct marketing
- Encourage the use of word of mouth marketing (referrals)

✧ Specific Strategy

Marketing strategy is a process that can allow a business venture to concentrate its limited resources on the greatest opportunities to increase sales and achieve a sustainable competitive advantage. Our marketing strategy is centered on the key concept that customer satisfaction is the main goal. Without customers we cannot survive or exist. We intend to use market penetration as our marketing strategy. This is because the sellers in this location import fish to sale, so since we would be opening our own fish farm, we would have to take over the market by penetrating, marking the

wholesalers and individual buyers to buy from us until we break the chain of buying imported fish. We intend to achieve this as we already have new customers and market demand, lower prices (through flowing on breakeven for the first periods of sale), aggressive promotion and distribution.

✧ **Opportunity or Problem in the Market to be Addressed**

Fish remains the most acceptable and healthy source of protein for human consumption, but this essential product is not readily available in our local content to address the demand of our ever increasing population, hence the continuous importation of frozen fish to make up for the shortfall, but still the gap in demand and supply keeps widening, giving rise to high cost of purchase and denial of fish in most homes because they cannot afford it. Rampant cases of goiter (sickness due to lack of iodine) is been recorded in our hospitals in recent times due to the scarcity of the main source of iodine, fish in most homes. This is a social and economic problem I felt should not be left to the Government alone.

✧ **Our Pricing Strategy**

Some of the factors that will help you sell your farm produce at the right price that will guarantee that you make profits is dependent on your strategy while some of the factors are beyond your control. For example, if the climatic condition is unfavorable and if there is natural disaster in the location where you have your catfish farm, then it will directly affect the prices of your fish.

Over and above, if you want to get the right pricing for your catfish, then you should ensure that you choose a good location for the catfish farm, choose a good breed that will guarantee bountiful harvest, cut the cost of running your catfish farm to the barest minimum and of course try as much as possible to attract buyers to your catfish farm as against taking your catfish to the market to source for buyers; with this, you would have successfully eliminate the cost of transporting the goods to the market and other logistics.

We are quite aware that one of the easiest means of penetrating the market and acquiring loads of customers for all our catfishes is to sell them at competitive prices hence we will do all we can to ensure that the prices of our fish and seafood are going to be what other catfish farmers would look towards beating.

One thing is certain; the nature of catfish farming business makes it possible for catfish farmers to place prices for their catfish based on their discretion without

following the benchmark in the industry. The truth is that it is one of the means of avoiding running into loss.

✧ **Payment Options**

The payment policy adopted by Farms is all inclusive because we are quite aware that different customers prefer different payment options as it suits them but at the same time, we will ensure that we abide by the financial rules and regulation of Nigeria.

Here are the payment options that Farms will make available to her clients;

- Payment via bank transfer
- Payment with cash
- Payment via online bank transfer
- Payment via cheque
- Payment via mobile money
- Payment via bank draft

In view of the above, we have chosen banking platforms that will enable our client make payment for farm produces purchase without any stress on their part. Our bank account numbers will be made available our to clients who may want to deposit cash or make online transfer for catfish.

Product: Our products are in high demand in the market. There is great need and demand for supply of catfish. We intend to grow our product to be very qualitative and beat down all imported fish in the market.

Price: Our products price would be fair to those in our target markets, we have greater advantage as buying from us would mean the buyer would not incur transportation (carrying) cost as our farm house is close to all our target market. We have considered our prices and have seen that selling from N600 would give us profit while those selling in the market by other sellers are sold for N700 – N750. Our Products are price is almost on same benchmark with the prevailing market price.

Promotions: At the initial or first harvest, we intend to draw customer's attention to our farm and product by offering discount to customers on total price payable. This discount would be given as below:

- ☐ Above 30 pcs of fish 1.5% Discount
- ☐ Above 90 pcs of fish 2% Discount
- ☐ Above 150 pcs of fish 2.5 % Discount
- ☐ 500 and above 5% Discount

Distribution: Our product would be available at the farm sales room (Cool Room) immediately after harvest where buyers can come to buy, wholesalers, retailer and also individual buyers. We would make arrangements for customers to contact the sales representative to place order which would be delivered using the business car.

✧ **Publicity and Advertising Strategy**

Any business that wants to grow beyond the corner of the street or the city they are operating from must be ready and willing to utilize every available means (both conventional and non – conventional means) to advertise and promote the business. We intend growing our business which is why we have perfected plans to build our brand via every available means.

We know that it is important to create strategies that will help us boost our brand awareness and to create a corporate identity for our fish and seafood farming business. Below are the platforms we will leverage on to boost our fish and seafood farming brand and to promote and advertise our business;

- Place adverts on community based newspapers, radio stations and TV stations.
- Encourage the use of word of mouth publicity from our loyal customers
- Leverage on the internet and social media platforms like; YouTube, Instagram, Facebook ,Twitter, LinkedIn, Snapchat, Badoo, Google+ and other platforms to promote our business.
- Ensure that we position our banners in strategic positions all around Damagasa - Gudu District.
- Distribute our fliers and handbills in target areas in and around our neighborhood
- Contact corporate organizations, households, landlord associations and schools by calling them up and informing them of Farms and the catfish we sell
- Brand our car and ensure that all our staff members are involved in the publicity.

9. DESIGN AND DEVELOPMENT PLAN

The farm is built in Damagasa town to hold a capacity of 12,000 fingerlings and would be fed till they grow to adult and sold in the market once they reach the desired market size. The cycle period is 6 months (24 – 28 weeks). We intend to start another cycle immediately the adult fishes are sold and start another cycle at the same scale, that is, with 12,000 fingerlings. We would flood the Damagasa market with our fish which is cheaper than the ones imported and sold in the area. Also, our second target which is Gudu, in the town's market, there is no fish farm, all the fishes sold in those location are costly and ours would be cheaper till we fill the market and make them start buying from us. The farm house was built to accommodate Four (4) large ponds for start, Borehole when constructed will be the source of water to the farm house, a drainage system for disposal of changed water from the pond, a cool room system to serve as store room while we sales the fish to the market, an equipment store house. The farm land is very large and will be fenced as we still have hopes to grow as our sales rise. Light to the farm would be supplied to the farm from the government source but we have a 14KV generator as stand by power due to the high need of light by fish farm. About N7,000,000 would be loaned and invested into the business at start up and the proprietor would manage the farm but would make use of few laborers (8 laborers).

✧ Challenges and Risk

Challenges in Catfish Farming: Fish farming is a very lucrative business and a profit maker all year round. The reason for its profitability can be attributed to the fact that it is a food and it is always in demand. In fact, the demand for fish can never be met because of the massive population we have especially here in Nigeria. As any farm or business venture, catfish farming involves risk. This risk if managed carefully could be minimized, as they have the potential to wipe out your fish stock or make the farm unprofitable. Some of these challenges and risks include:

- ☐ Fish Loss: This loss could be as a result of disease affecting your fingerlings in the pond. Some of these diseases include; Enteric Septicemia, Columnaris, Aeromonas, Virions, Tape Worms, round worms, flukes, etc.
- ☐ Fish is very sensitive to manage and a slight mistake could result to degenerated growth of your fish or even death which may cause massive revenue loss.
- ☐ Water Contamination: Spillage into the ponds could cut off oxygen flow to the fingerlings or fishes and this would kill the fishes.

□ There is no byproduct in fishery unlike poultry where even the drop can be harvested and sold to other farmers and make extra profit. In fishery, all you get is the flesh.

□ Quality of Fingerlings: Poor quality fingerlings may die or even fail to grow and this would result in a loss of investment.

□ Setting up fish farm is capital intensive, much more than that of poultry and snail farming. Setting up fish farm requires more careful planning and much capital input.

□ Failure of water supply: Breakage of water supply is potentially dangerous to the fish and if such occurs, there are great tendencies of the fishes dying.

- ❖ Fish farming is capital intensive.
- ❖ It is labor intensive
- ❖ Cannibalism and high mortality rate of fingerlings
- ❖ Pest and predators
- ❖ Market instability
- ❖ Loss during harvest.

✧ **Projected Development Costs:**

We intend to construct more additional 8 ponds to raise our ponds to 12. With this capacity, we intend expand our production to about 36,000 fingerlings to be raised for sale. A borehole will need to be drilled and a water tank shall be installed; this will be the source of water for the fish farm. A greenhouse to further stabilize temperatures shall cover the fish tank. Among our future plans is to also purchase hauler trucks (Cold room Vehicle) to facilitate the selling of our fish as we intend to dominate the whole of North Central States and FCT.

10. OPERATIONS PLAN

General approach to operations

Actual Production Process The fish cycle starts from getting the fingerlings from the market into the pond and then feeding them with the various feeds until they are due for harvest and then taken to the market for sales.

Why Company Is Cited: The company is cited in Damagasa due to a host of different factors which include the growing presence of the civil servants which makes it a growing area with high population and different people from different parts of the country. This gives us an advantage in terms of the demand for our fish. Labor is another reason for choosing this particular location. The Damagasa community is

characterized by a population where youths occupy the largest percentage of the population and most of these youths are either drop outs or those who cannot further their education, these makes it possible for the company to get labor at a cheaper rate compared to cost of labor in Gudu. Another reason is the fact that with time the company intends to be hiring graduates especially those from the agricultural department as workers in the company either on interim basis or permanent basis. With its nearness to FCT, the company is exposed to information about new variety of fish, or new improved feeds through their research and development.

Business Location: The farm is located in Damagasa, Gudu District, FCT Abuja. The site is generally flat with gentle sloping which is quite suitable for the farm. This slop would ensure 100% drainage of the pond water. We have a plot of land there which covers a vast land. The farm site is also located near the community stream. The environment is cool and dense which support fish production and there is an access road from the farm to the main dual carriage way which would reduce transportation cost. Furthermore, harvested farm products can easily be transported to our target markets for sale. Weekly sales are also numerous within the community. The site is also very motor-able hence vehicles can easily reach the site to evacuate fish farm products.

Facilities and Equipment: The facilities and equipment needed in the catfish farming are as follows: Electric Aeration, Hauling Trucks and Tanks, Generator, Mechanical Blower, Truck Mounted/ Tractor – powered, Harvesting bag net, Bamboo Screen Trap, Leveling tool, Distilling tool, Seine, Boom Truck, Fish Basket, Tractors, Picking Truck, Fertilizer Tools, Analysis Kit, Chilling Box, Cast Net, Nets and Trap, Fingerling Seine, Fingerling Suspension Net, Gillnet Seine generator, Spawning tools, Fridge etc

11. FINANCIAL PROJECTIONS

✧ Sales and Cost Plan

Details	Year 1 (N000)	Year2 (N000)	Year3 (N000)	Year4 (N000)	Year 5 (N000)
Sales	14,040	15,340	15,470	15,340	15,340
Direct Material Cost	(3,198)	(3,198)	(3,198)	(3,198)	(3,198)
Direct Labour Cost	(3,110)	(3,110)	(3,110)	(3,110)	(3,110)
Gross Profit	7,732	9,032	9,162	9,032	9,032
Indirect Cost	(1,000)	(1,000)	(1,000)	(1,000)	(1,000)
Net Profit	6,732	8,032	8,162	8,032	8,032

✧ Cash Flow Statement

ITEM	YEAR 1	YEAR 2	YEAR 3
Beginning cash Receipt (Sales)	-	6,732	14,764
Cash Inflow	14,040	15,340	15,470
Operating Expenses	(1,000)	(1,000)	(1,000)
Fingerlings	(720)	(720)	(720)
Feed	(2,164)	(2,164)	(2,164)
Chemical	(150)	(150)	(150)
Labour	(3,110)	(3,110)	(3,110)
Harvesting and Haulage	(120)	(120)	(120)
Others	(44)	(44)	(44)
Total Outflow	7,308	7,308	7,308
Cash Available	14,040	22,072	30,234
CASH BALANCE	6,732	14,764	22,926

✧ Loan Repayment Plan:

Modified Payback Period: an investment / project evaluation technique which will be adapted by this business is the modified payback period.

The modified payback period is the classic economic method of evaluating investment or project proposals. It recognizes the time value of money as well as the time it will take the business to pay back its loan obligation.

It postulates that cash flows arising at different time periods differ in value and are comparable only when their equivalents present value is found out.

❖ Payback Period of Loan

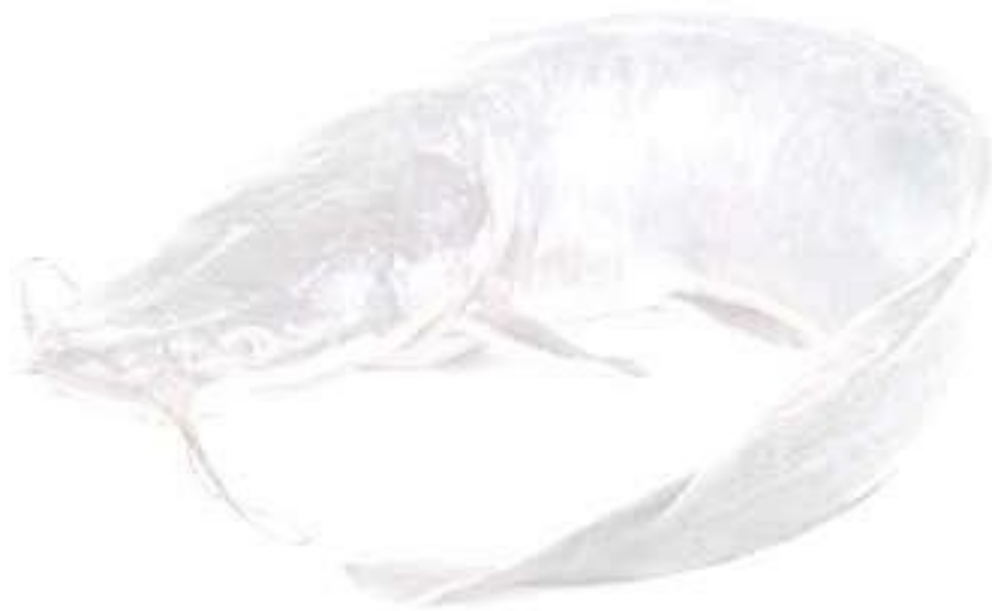
Year	Cash flow (N000)	5% dcf	PV(N000)	Payback(N000)
0	(7,304)	1.000	(7,304)	(7,304)
1	6,732	0.952	6,409	(895)
2	8,032	0.907	7,285	6,390
3	8,162	0.864	7,052	13,442
4	8,032	0.823	6,610	20,052
5	8,032	0.784	6,297	26,349

This implies that the business is viable as it can recoup the investment within less than two years.

12. CONCLUSION

Like several other agribusinesses that have great potentials for both scale and profitability starting a fish farming in Nigeria or across Africa is a great agribusiness to start up if executed at the right scale.

We also know that fish farming in Nigeria is one of the most profitable agribusiness to venture into, and as such, investing in the agribusiness is a smart decision to make, especially with its local demand and very high export potentials.



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